Article | 4 September 2026

Webinar: Central banks, inflation, and the rate hike gamble

Join ING s economists and strategists for a live webinar on 9 September to discuss the September round of Federal Reserve, European Central Bank, Bank of England and Bank of Japan meetings. Sign up here

The world's major central banks are edging closer to further rate hikes this month as the economic outlook improves and inflation concerns prevail. That comes at a particularly perilous time for the global bond market, as monetary policy combines with debt sustainability concerns to push yields ever higher.

Join ING's economists and strategists for a live webinar as they look ahead to the September round of Federal Reserve, European Central Bank, Bank of England and Bank of Japan meetings. You'll learn:

- Why the Fed is edging towards a rate hike this month – and why the data doesn't necessarily back it up
- How the ECB's September rate hike could be the last
- Why the bar remains high for a Bank of England rate hike – and why rate cuts are still likely in 2027
- Whether the Bank of Japan will pick up the pace of monetary tightening this month
- The impact on FX and the outlook for major currency pairs

Details

Date: Wednesday 9 September

Time: 1430 BST/1530 CEST/0930 ET

The webinar will last 45 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

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The debt sustainability dashboard: Who comes off worst?

Sovereign debt concerns are on the rise with yields heading higher. This means higher interest costs, further worsening the fiscal outlook. We look at how countries are faring and what the prospects are for credible action

A trader monitors market volatility during the sovereign debt turmoil of the early 2010s

Rising government borrowing costs reflect fiscal fears

The latest bond market developments have revived memories of the sovereign debt crisis of the 2010s and brought debt sustainability back into focus. Whether this marks the beginning of a new sovereign debt crisis is not a question that can be answered with a simple yes or no.

The latest concerns have been triggered by rising government debt ratios across developed markets. Most industrialised economies are facing pressure to increase spending on defence, infrastructure, and AI, as well as for healthcare and pensions. Agreeing on additional spending has been politically easier than cutting spending elsewhere.

And, indeed, with the exception of the pandemic, most developed economies currently have government debt ratios at record-high levels. Admittedly, not all developed economies. Southern European countries remain the noteworthy exemption, with Greece and Portugal having reduced their debt ratios to levels last seen almost 20 years ago.

However, let's not forget that debt-to-GDP ratios are only one – very simple – way of looking at debt sustainability. Japan carries gross debt of roughly 250% of GDP and borrows at rates that would embarrass a corporate treasurer. Argentina defaulted in 2001 with a ratio in the mid-50s. Sri Lanka defaulted in 2022 at around 100%; Zambia in 2020 with a ratio that almost would have qualified for eurozone membership.

Economists Carmen Reinhart, Kenneth Rogoff and Miguel Savastano called this "debt intolerance" – the tendency for serial defaulters to hit their borrowing limits at debt ratios that rich countries would regard as entirely normal. The threshold is not a physical constant. It is a reflection of everything the ratio leaves out – revenue capacity, institutional credibility, the depth of the domestic investor base, the track record.

The eurozone made the same point in reverse. Ireland entered 2007 with public debt around 24% of GDP, the model fiscal pupil. Spain was running fiscal surpluses. Both ended up in crisis anyway, because the sovereign balance sheet was not where the risk was sitting. Greece, at the other extreme, had genuinely and openly over-borrowed. Same monetary union, same year, three completely different diagnoses.

All of the above conveys one message: the headline number is just the start of any credible debt sustainability analysis. What matters even more is the primary deficit, the level of interest rates and also who holds the sovereign bonds.

r minus g: the snowball nobody sees until it starts rolling

The one piece of arithmetic that does most of the work is the gap between the effective interest rate (r) on the debt and nominal GDP growth (g). When growth exceeds the interest bill, the debt burden can shrink gradually even with a small primary deficit. When the relationship reverses, debt dynamics begin to work against you, and the primary surplus needed to stabilise it becomes a political question rather than a fiscal one.

Latin America in the 1980s is the textbook example, and the crisis was not triggered by overspending in the year it erupted. Rather, it was the result of a dramatic shift in the arithmetic. As Federal Reserve Chair Paul Volcker fought inflation with double-digit interest rates, a region that had borrowed cheaply during the petrodollar recycling of the 1970s suddenly found its interest costs soaring just as growth collapsed.

Greece met the same mechanism from the opposite direction. Nominal GDP fell by around a quarter between 2008 and 2013. No plausible primary surplus stabilises a debt ratio against that denominator, which is why the debt ratio kept climbing through the austerity years and why the 2012 restructuring – around €200bn of privately held bonds, with a nominal haircut above 50% – was arithmetically unavoidable long before it was politically mentionable.

Next to the debt ratio, r-g and the primary fiscal balance, debt ownership and the debt calendar of when bonds mature and need to be rolled over do matter.

Where do we currently stand?

Let's have a brief look at what the numbers are telling us currently.

Debt sustainability dashboard: Who scores worst?

	US	UK	JP	DE	FR	NL	IT	ES
Current borrowing situation (2025 data)								
Gross debt (% of GDP)	124	102	207	63	116	43	137	100
Net lending/borrowing (% of GDP)	-6.8	-5.4	-1.1	-2.7	-5.1	-1.8	-3.1	-2.5
Primary balance (% of GDP)	-3.2	-2.8	-0.9	-1.8	-3.1	-1.2	0.5	-0.4
Interest costs (% of GDP)	4.7	3.4	1.3	1.1	2.2	0.7	3.9	2.4
Size of the state (2025 data)								
Expenditure (% of GDP)	38	44	37	51	57	45	51	45
Revenue (% of GDP)	31	38	36	48	52	43	48	42
Improvement required to stabilise debt-to-GDP ratio (Based on IMF forecasts)								
Primary balance in 2030 (% of GDP)	-3.4	1.0	-2.0	-2.6	-1.0	-1.4	1.6	0.3
Improvement in primary balance to stabilise debt/GDP ratio in 2030	2.7	-1.4	-2.1	1.8	0.2	0.9	-1.2	-1.5
Planned fiscal consolidation/expansion								
Percentage-point change in structural budget balance from 2025	-0.3	2.8	-1.7	-2.0	0.9	0.0	1.3	0.5
Debt management								
Average maturity (years)	5.8	13.6	8.5	7.1	8.2	8.5	7.0	7.6
Share of debt held by non-residents	26	24	12	40	43	36	30	41

Source: Macrobond, ING

Most data is from the IMF World Economic Outlook. Improvement in primary balance required is calculated as the IMF's 2030 primary balance forecast, less ING's calculation of the primary balance that would be required to stabilise the debt to GDP ratio.

At current levels, interest rates do not pose a solvency issue for governments. For most countries, the real 10y interest rate is still below real GDP growth. However, many countries (US, UK and France) do need austerity measures to at least stabilise government debt ratios. At the current juncture, the latest turmoil on bond markets is a reminder that debt-fuelled growth has reached its limits. We have reached a point at which governments will have to take more painful political decisions, cutting expenditures elsewhere as interest rate payments are increasing. Currently, the US pays nearly 5% of GDP on interest costs, while Germany pays some 1.5% of GDP. For comparison, Greece paid some 8% of GDP during the sovereign debt crisis before it went into default.

It won't take long before markets will focus on central banks and their willingness or unwillingness to eventually bail out governments and purchase government bonds again.

Different countries, different attitudes

In the US, Treasury Secretary Scott Bessent is set to release a deficit reduction plan, yet there appears to be little appetite from the Republican-controlled Congress to make budget cuts that would impact voters in key swing states ahead of November's mid-term elections. That prospect will become even more dim if, as opinion polls currently suggest, the Democrats win control of the House of Representatives. Secretary Bessent set a goal of delivering a fiscal deficit of 3% (last achieved in 2015), yet the Congressional Budget Office now projects it to average over 6% per year over the coming decade.

In fact, the current administration has made the US fiscal position more vulnerable. President Donald Trump's One Big Beautiful Bill Act (OBBBA) did include over $1tr of healthcare spending cuts for the coming decade, but the permanent extension and expansion of tax cuts and more spending on other areas, including border security, led the Congressional Budget Office to conclude that OBBBA will in fact add $2.8tr to the national debt by 2034. Tariffs were meant to plug the gap, but the revenues fell well short of government projections and the Supreme Court's decision to strike down the initial 'Liberation Day' tariffs and insist on refunds means there is currently a net cash outflow from the Treasury.

Oft-mentioned fraud prevention and efficiency savings will not move the needle based on the underwhelming savings achieved by the Department for Government Efficiency. In reality, it will likely be wiped out by proposals for more spending on defence. This means we are unlikely to see any course correction over the next two years. Interest costs, already the third-largest expenditure item after health and social security, are set to climb further. It will be the next administration that will inevitably face pressure to take real action.

As is so often the case, the eurozone is more complicated. Looking at the aggregate, eurozone government debt is at 90% of GDP. However, public finances in Europe need to be looked at through national glasses and here the divergence of public finances as well as public finance sustainability is still striking. With France, Italy, Spain, Belgium and Greece, five out of 21 member states have debt-to-GDP ratios of above 100%. While the former periphery countries have built up fiscal cushions, even allowing for some slippage, France and Germany would currently need austerity measures worth some 2% of GDP to keep debt ratios stable. At the same time, interest payments take a growing share of government revenues in most countries, currently around 5% in France and Portugal but 9% and 6% in Italy and Greece, respectively. For now, no single eurozone country seems to be in the red zone.

However, with growing pressure on many governments to increase spending, higher interest payments and little willingness to cut expenditures elsewhere to implement fiscally sound structural reforms, eurozone divergence could soon become a theme again. Politically, the return of sovereign woes means that more fiscal burden sharing in the monetary union is highly unlikely to happen. It will be hard for countries like Germany, with a relatively sound fiscal starting position due to austerity in the past, to agree on anything that smells even remotely like a bailout. Instead, more differentiating bond markets will eventually test the ECB's willingness to restart asset purchases.

Meanwhile, the UK's fiscal backdrop is better than commonly assumed. Britain may have had a fiscal deficit of around 5% in 2025, but an ongoing freeze in tax thresholds means the UK is the only economy in our dashboard above that is undergoing a major fiscal consolidation. Britain is projected to run a primary budget surplus by the end of the decade and debt-to-GDP is expected to start falling. But like any projections, these are susceptible to change. Britain is not immune to either the structural spending pressures or the political challenges in taking tough decisions.

We don't expect major fireworks at the October budget – and think a desire to retain the existing fiscal rules will limit the room for a material increase in borrowing. But as we approach the next election in 2029 – a year when both tax hikes and austere spending plans feature in the budget plans – the political pressure to support the economy will inevitably grow. Beyond the next 12 months, borrowing projections are liable to upward revision.

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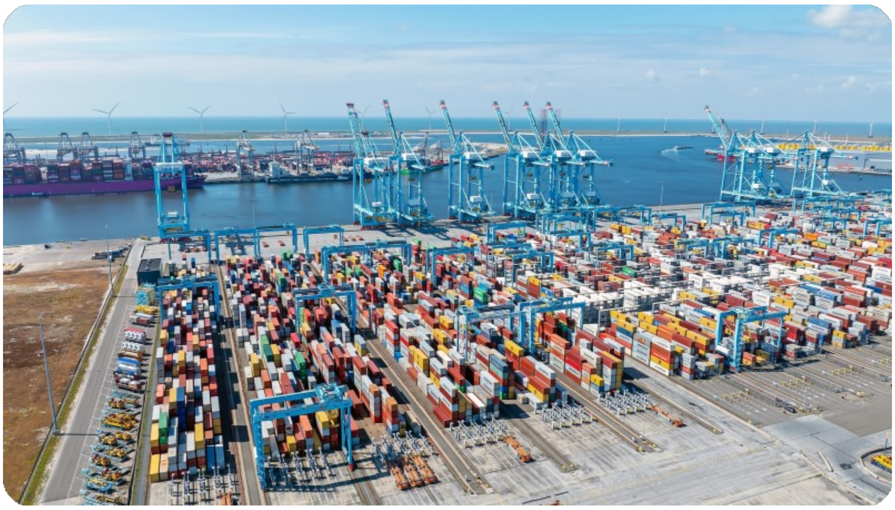
Europe’s search for a new growth model

The external environment that sustained the eurozone s export-led model for decades has changed for good. This means that the growth engine can now rebalance towards domestic demand or benefit from a reinvented export edge. Neither comes with a clear-cut playbook, and both can go horribly wrong



Rotterdam port in the Netherlands is the largest port in Europe

Why change a winning team?

Europe's economic model worked so well for so long that changing it never felt particularly urgent. For decades, Europe was one of the biggest beneficiaries of globalisation. Trade became an ever-larger part of the economy, companies gained access to fast-growing markets abroad, and consumers benefited from cheap imports.

Calls for more innovation, higher productivity and stronger competitiveness never disappeared, but they rarely moved beyond strategy papers and political ambitions. Why change a winning team? The Lisbon Strategy of 2000, which promised to make Europe “the most competitive and dynamic knowledge-based economy in the world” by 2010, is a useful reminder of how long Europe has been discussing today's challenges. And of how little discussion alone achieves.

The discussion has since become even more pressing. The Russian invasion of Ukraine and the energy crisis have pushed up production costs, while Chinese firms have become increasingly competitive in industries that Europe once regarded as its natural strengths. At the same time, global trade has become less predictable and more politicised.

The effects are increasingly visible in trade flows. Since 2019, eurozone imports from China have grown by around 50% while exports to China have declined, widening the eurozone goods trade deficit with China by more than €150bn. But bilateral trade balances should not be confused with competitiveness. To assess competitiveness, it is more useful to look at market shares. Here too, the picture has deteriorated. Europe's traditional strength in machinery and transport equipment has weakened, with trade surpluses shrinking and Chinese firms gaining ground in sectors such as electric vehicles. Even pharmaceuticals, the undisputed bright spot in European trade with exports up more than 80% since 2019, are not immune to growing Chinese competition, as China's share of eurozone imports continues to rise.

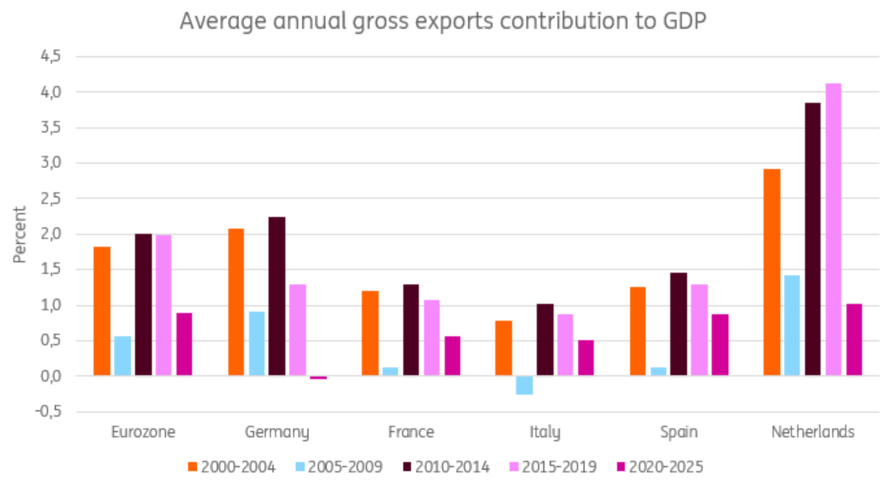
A trade surplus that once seemed entrenched is being eroded by several sides at once. And while a trade surplus is not necessarily a sign of economic strength or something to pursue, the shrinking surplus is illustrative of a deteriorating growth model characterised by manufacturing specialisation, strong external demand, sustained export-market gains and sizeable current-account surpluses. Subsidies, industrial policy and trade barriers may slow the adjustment and buy time for businesses to adapt, but they are unlikely to recreate the conditions of the 2010s.

This is what makes today's competitiveness debate different from earlier ones. While the war in the Middle East and US tariffs have dominated headlines over the past year, they are only one part of the story. The larger challenge is that the external environment on which Europe's growth model relied has changed fundamentally. As a result, the eurozone is being pushed towards a new growth model. The question is what that model will look like.

The engine is sputtering

The pressure on the trade balance stems mainly from the export side. The eurozone has become less of an export powerhouse in recent years. To put this into perspective, the contribution of gross exports to GDP was, on average, around two percentage points per year in both the first and second half of the 2010s. Since 2020, that contribution has fallen below one percentage point, and in Germany, of all places, it has turned slightly negative. The Netherlands, the eurozone's most open economy, has seen the export contribution to growth drop to a quarter of its pre-pandemic level.

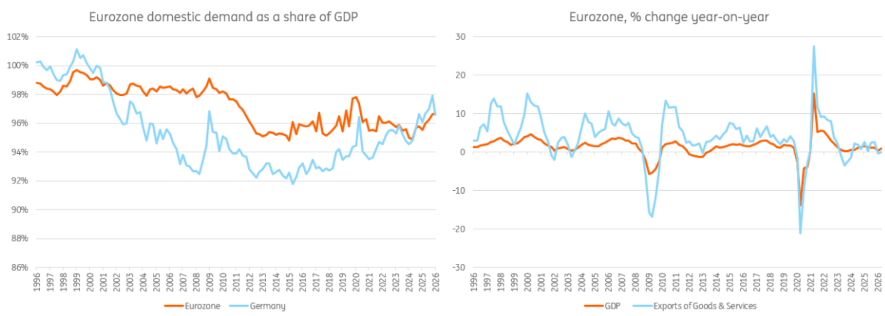
Contributions of gross exports to GDP have fallen this decade



Source: Eurostat, ING Research

The same picture emerges over a longer time horizon. Since the mid-1990s, eurozone exports have outpaced GDP growth in every expansion and contracted more sharply than GDP in downturns. Meanwhile, domestic demand as a share of GDP retreated after the financial and euro crises and has never fully recovered. But in recent years, there has been a pickup. And in Germany, this pickup seems more structural. The current expansion is the first in which export growth has failed to outgrow the economy. Of course, there are temporary factors playing a role here, but the structural story behind it is becoming harder to ignore.

The role of exports in GDP growth is moderating



Homemade growth

One possible response to a weakening export engine is a more domestically driven growth model, in which the eurozone's large pool of relatively wealthy consumers and businesses as well as fiscal stimulus become a larger source of growth through consumption and investment. This is more than a theoretical possibility. The eurozone combines high household wealth, substantial private savings and relatively low levels of household leverage with significant investment needs in defence, infrastructure, energy and digitalisation. If these resources can be mobilised more effectively, domestic demand could become a stronger source of growth than it has been for much of the past decade.

Recent initiatives could give such a shift additional momentum. Higher defence and infrastructure spending, particularly in Germany, are boosting investment demand. The Savings and Investments Union aims to channel Europe's large pool of savings towards productive investment, while policymakers are increasingly focused on reducing barriers within the single market. Together, these developments could provide stronger support for domestic demand than Europe has seen in many years.

But how likely is it that domestic demand can simply take over? It’s a clear opportunity, but we don’t want to close our eyes to the complications either. Below, we focus on three limiting factors: the lack of historical precedents, the euro, and demographics.

The precedent problem

There are remarkably few examples of countries that have successfully moved from an export-led to a domestically-driven growth model. The United States is the obvious one: a large trade surplus at the end of World War II turned into the historically large deficits of the current era, while the economy kept growing. The dollar’s reserve currency role did not cause America’s shift towards persistent external deficits, but it made those deficits easier and cheaper to finance than they would be for almost any other country. The US could rebalance on other people's savings.

The other precedents are less flattering. Historical experience suggests that external rebalancing is compatible with solid growth when it reflects higher productive investment, but not when it is driven by credit-fuelled demand booms or declining competitiveness. Or worse, often the so-called rebalancing happens in times of severe crisis. Finland's current account surplus shrank sharply after 2008, but mainly because of the demise of Nokia and weaker export performance; GDP growth fell from around 3% to essentially zero. That was rebalancing out of weakness, not strength.

Spain, Portugal and Greece saw their external balances deteriorate after entering the monetary union as cheap capital fuelled consumption and construction booms. Growth was strong until the bubble burst. Too much of the capital flowed into housing and non-tradables rather than productivity-enhancing investment, leaving these economies exposed when financing conditions tightened after 2008. Ireland was, to a degree, in the same boat as Southern Europe but has recently become more of a rebalancing success story. However, its national accounts are so distorted by multinational activity that both GDP and current account figures need to be taken with a large pinch of salt.

This means there is no blueprint for a highly developed economy to deliberately and successfully transform its economic business model away from exports to more domestic demand. The eurozone would be entering uncharted territory.

Can a ‘global euro’ help build a new growth model?

As the US was able to use the dollar’s status as the world reserve currency to rebalance, could the euro perhaps be of help as well? A successful rebalancing and a strong euro are best understood as a feedback loop rather than a one-way street. If Europe's domestic investment story becomes credible, foreign capital would flow in and the euro could strengthen. A stronger euro, in turn, raises households' purchasing power, lowers import costs and shifts relative incentives away from exporting and towards serving the home market – which is precisely what a rebalancing requires. This is the mechanism that dollar strength provided for the US for decades.

The loop, unfortunately, also runs in reverse. A weak euro flatters exporters, subsidises the old model and postpones the adjustment – while making imports, not least energy, more expensive for the domestic economy. European Central Bank President Christine Lagarde has been promoting a “global euro moment”. And while the euro’s international role has increased modestly (when measured at current exchange rates), it would be a stretch to call this a material shift towards euro assets in global financial markets.

Without deeper and more liquid capital markets, a genuine European safe asset and a larger pool of investable euro instruments, the euro will not get the reserve-currency tailwind that carried the American rebalancing. In short: the currency will not lead this transition, but it is a gauge of where the transition stands. Markets will reward a credible rebalancing with a stronger euro, and punish an unconvincing effort by keeping the eurozone dependent on the very export model it is trying to outgrow.

Ageing makes domestic demand growth more challenging

Demographics are the second complication, and they lean against the domestic-demand story rather than for it. Eurozone population growth is grinding to a halt due to rapid ageing, and ageing societies are not natural consumption machines. Without much population growth, it is a lot harder to increase demand. On top of that, while the theory is ambiguous, we so far see that older households save well into retirement, run down wealth more slowly than the textbooks assume so far, and shift their spending towards services and pharma rather than the goods and housing that drive investment cycles. The effects of ageing on labour supply, potential growth and the composition of demand also make a domestically-led acceleration of economic growth hard to achieve.

Japan is the main advanced market that has already gone through a sizeable demographic decline and its growth model has become more reliant on exports over time. The period of significant ageing of the Japanese population went hand in hand with a rising, not falling, share of exports in GDP although this also went hand in hand with a prolonged balance sheet recession. As the domestic market matured and shrank, Japanese companies increasingly looked abroad for growth, and the economy as a whole relied on earning income from the rest of the world to fund retirement at home. If Europe's future relied on ageing consumers suddenly discovering their inner spender, this is again something that hasn't really been done before.

In Japan, ageing has come with a rising share of exports in GDP

Source: Macrobond

A second lease for the export model

The lack of clear historical precedents suggests that Europe's way forward does not necessarily lie in a rebalancing towards domestic demand alone. Another possibility is that Europe retains an export-oriented growth model, not by defending yesterday's champions, but by building tomorrow's. Europe remains one of the world's largest trading blocs, home to global industrial leaders, deep engineering expertise and a large integrated market. If these strengths can be translated into new competitive advantages, exports could continue to play a central role in growth. Several candidates for these new export champions stand out. Defence and aerospace benefit from a rearmament cycle that will run for a decade and from procurement volumes that finally offer European scale; Airbus is the proof that Europe can build a global champion when it pools resources. Pharmaceuticals and medical technology are already the bright spot of European trade, and an ageing world is a growing market. Although China is rapidly building a strong position in pharma at the moment as well.

In green technologies, the solar battle is lost and the EV battle is difficult, but grid technology, wind services and nuclear expertise remain contested rather than conceded. Industrial AI and robotics may be Europe's most underrated card. Europe will not out-compete the US or China in AI models, but applying AI to the world's largest installed industrial base - the machine data of thousands of hidden champions - is a race that is still open. And services exports have quietly become a larger share of the European story, from business services to tourism, with a persistent surplus that rarely makes headlines.

Add to this the recently agreed trade agreements – Mercosur, India, Australia – which could support export volumes, even if their effect on the trade balance is uncertain and likely to be modest.

Still, none of these opportunities are guaranteed. European exporters face higher energy costs, intensifying competition from China, fragmented capital markets and a single market that remains incomplete in important areas. Creating new export champions is therefore not simply a matter of identifying promising sectors. It requires the same ingredients that would underpin a successful domestic-demand story: stronger productivity growth, deeper capital markets, room for innovation and a business environment that allows firms to scale. Not impossible as we argue here, but a lot of work to be done.

Four roads for the eurozone economy

Ultimately, the choice is not necessarily between one model and the other. A stronger domestic economy also breeds more opportunities for European businesses to become global export champions. By strengthening the foundations of the eurozone economy, Europe could support both a more demand-driven growth model and a renewed export advantage. But without a healthy foundation, weaker versions of both could be a realistic outcome as well.

To illustrate this, we define four stylised scenarios for the eurozone as it grapples with the erosion of its old growth model. In these scenarios, the key uncertainty is not whether Europe becomes more dependent on domestic demand or continues to rely on exports. It is whether Europe can generate sufficient productivity growth and new competitive advantages to support either model. A balanced economy without productivity growth risks stagnation; an export economy without new areas of competitiveness risks decline.

	Successful transition	Unsuccessful transition
More domestically driven economy	1. Prosperity at home	2. Stagnant Europe
Export model remains central	3. Industrial renaissance	4. Disneyland Europe

1. Prosperity at home – Europe finds a new growth engine in its own market

Europe deliberately shifts away from dependence on external demand and develops a stronger internal growth model. Initiatives to strengthen domestic demand through public and private investment succeed. A more aggressive shift towards renewables and nuclear power reduces energy dependence significantly, and structural reforms unlock activity. Supported by the savings and investment union, Europe becomes more attractive for foreign investors; capital inflows strengthen the euro. The wage moderation efforts of the past decades are not repeated as labour becomes more expensive.

Together with the stronger euro, this reinforces purchasing power. Trade surpluses narrow almost automatically – a symptom of success, not failure. Europe imposes import restrictions on Chinese products but keeps the European market open for Chinese investment. While Europe remains dependent on US AI providers, the smart application of AI lifts productivity, and services become a larger share of European growth.

2. Stagnant Europe – rebalancing without renewal

Exports lose momentum and trade surpluses disappear, but Europe fails to generate sufficient domestic dynamism to compensate. Higher commodity prices weigh on purchasing power and ageing and weak productivity dominate. As European exporters lose market share and exports cease to be the main growth driver, the European growth model does indeed become more balanced – but it is a balance of the race-to-the-bottom kind. Productivity remains weak, companies increasingly invest abroad, and the current account balances not because domestic demand rises but because there is less and less to export. Rebalancing by default rather than by design: the Finnish experience at a larger scale.

3. Industrial renaissance – Europe creates the next generation of export champions

Europe retains an export-orientated model, but not by defending existing industries. Reforms in the home market allow for better scaled companies. The basis for revived growth is similar to our 'Prosperity at home' scenario. New, globally competitive sectors emerge and sustain strong external demand: defence, aerospace, renewable technologies and pharma, among others. Industrial AI applications and robotics keep European companies at the forefront of global industry, converting the world's largest installed manufacturing base into a productivity advantage. Labour costs are kept under control by wage moderation and technological advancements. The model stays recognisably European – open, trade-oriented, engineering-heavy – but with a new generation of products under the hood.

4. Disneyland Europe – fighting yesterday's battle

Europe doubles down on preserving existing industrial structures through subsidies, protectionism and wage restraint. The export model remains the ambition, but competitiveness continues to weaken as structural reforms stay superficial and half-hearted. Regulation continues to dominate AI implementation, keeping potential productivity gains low. This is the worst-case scenario: a continued, gradual deterioration of prosperity in which Europe's most reliable growth industry becomes showing tourists from Asia and America what a great economy once looked like. Culture and history, after all, are harder to ruin than economic prosperity.

Le roi est mort – but where is the heir?

The old European growth model will not be voted out of office; it is being retired by the world around it. The real choice facing Europe is therefore not between a domestic-led and an export-led model. It is between deliberate change and change by default. Both 'Prosperity at home' and 'Industrial renaissance' are within reach, and they are not even mutually exclusive – a stronger home market and new export champions could happily coexist. Even if historical evidence clearly suggests that an 'industrial renaissance' would be the model with a higher chance of success.

In any case, both outcomes require the same clear but also disruptive policy choices, in order to achieve productivity growth, cheaper energy, deeper capital markets and reforms that survive contact with national politics. In fact, Europe won't need to choose a new business model upfront, it simply needs to do its homework and then step back to see which model will prevail. One thing is for sure: doing nothing would push the European economy further into its very own 'Nokia' moment.

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Disclaimer

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Trump's MFN policy is reshaping global pharma, not prices

The Trump Administration this week announced nine new most-favoured nation (MFN) deals with mid-sized pharma companies. As the MFN model continues to expand, its implications for the industry are becoming increasingly clear: the US is attracting investment and Europe is losing out. The benefits for American patients, however, are far less certain

The recent most-favoured nation deals are not likely to result in lower prices for US patients, but will bring investment into the US

The US consumer is yet to see a significant drop in medicine prices

The nine new agreements expand the MFN framework to 26 manufacturers, which, according to the White House, covers around 89% of the branded drug market. However, this does not materially alter our core view that the direct impact on branded pharmaceutical margins will remain limited.

We have consistently argued that MFN pricing, which links US drug prices to those paid in other developed markets, does not necessarily trigger broad-based price cuts in the US for three reasons:

- First, price cuts for current drugs only apply to Medicaid, which makes up just 10% of the US market.
- Second, MFN only applies to new launches and manufacturers can partly manage the reference price by delaying or limiting launches in lower-priced markets.
- Third, it is likely that pricing agreements will exclude medicines that are used exclusively for rare diseases.

Given that the US is responsible for roughly 50% of revenues and often around two-thirds of branded pharma profits, companies have an incentive to delay launches in other markets. The incentive to delay a lower-priced European launch will be strongest for medicines whose revenues depend primarily on maintaining a high price, rather than on generating large volumes at a lower price.

The impact of MFN on prices is therefore manageable for the industry. It is no wonder, then, that we have seen many branded pharma companies raise guidance over the past year, signalling that these agreements generally protect profitability.

But the policy will attract manufacturing to the US

While the direct pricing impact of MFN may be limited, the policy is likely to further accelerate the shift of pharmaceutical manufacturing to the United States. Tariffs and pricing pressures are a powerful incentive to localise production because the US market is so profitable. The nine latest signatories committed at least $19.6bn in US manufacturing investment, bringing total announced industry commitments since tariffs and MFN to nearly $670bn.

More broadly, both Republicans and Democrats increasingly view pharmaceuticals and biotechnology as strategic industries critical to national security, meaning that policies that strengthen US control of biopharma supply chains will likely be structural rather than just a Trump-era phenomenon.

Europe faces an access issue and lacks a coherent response

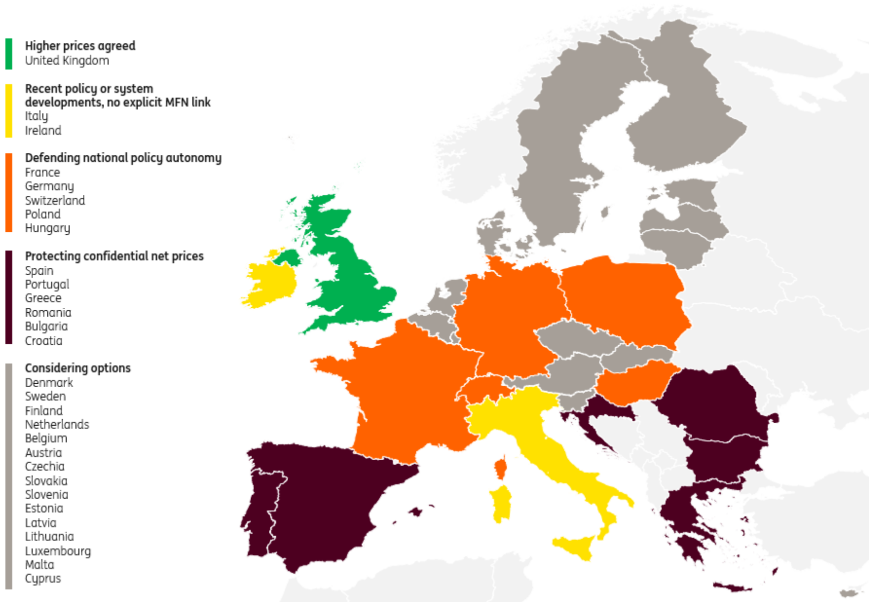
For countries used as pricing benchmarks, MFN means an increasing access challenge. As US prices are elevated, medicine launches in reference countries may be delayed. Through the first four months of 2026, we have seen a decline of 25% in drug applications at the European Medicines Agency compared to the same period last year. Europe, therefore, faces an increasing access issue, which is bad news for European patients.

European policymakers have so far offered a limited and uncoordinated response. Many governments seem to want to ignore the issue, while only the UK has increased its prices for new innovative therapies and Ireland and Italy have recently enacted reforms, though without an explicit link to MFN.

The unwillingness of many European governments to address this issue is understandable given fiscal pressure from increased healthcare and social security spending due to ageing populations and increased defence spending. However, we believe upward price pressure from the American government and the industry will not go away.

Europe's response to MFN has been mostly wait-and-see

EU27 + the UK and Switzerland classified according to their response to MFN



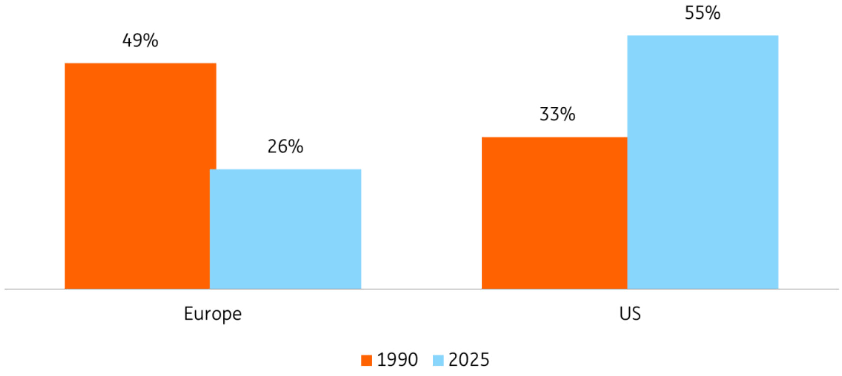
Source: ING

Increasing prices is not enough to fix Europe's competitiveness issue

This means that Europe needs a more coordinated response, not just because of MFN, but also because of the EU's ambition to make Europe the most attractive place in the world for life sciences. In fact, the continent is losing ground to both the US and China: Europe saw its share of global clinical trials decrease from roughly 35% in 2009 to roughly 20% in 2024, and its share of global private R&D has declined significantly since 1990, while the share of the US has more than doubled.

European share of R&D spending has declined rapidly

European and American biopharmaceutical R&D spending as a percentage of global spending in 1990 and 2025



Source: ITIF; ING

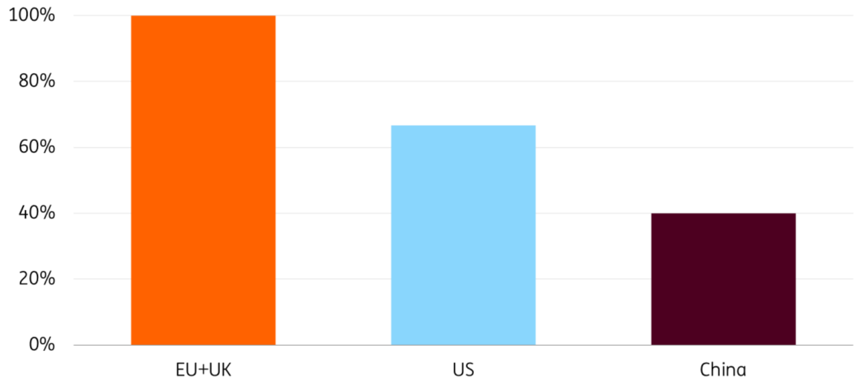
The structural issue at the heart of this decline is not a result of MFN; the policy merely exposes and may intensify longstanding weaknesses in the continent's life-sciences model. In contrast to what many in the industry say, this competitiveness issue is not simply a result of price, but rather of the continent's institutional setup.

Although the EU is technically one market, health policy is still a national policy domain. This means that Europe has a common medicine authority, but still has 27 different Health Technology Assessment (HTA) frameworks, 27 different pricing regimes, and it lacks a common capital market, which means that European biotechs tend to be funded by US venture capital and private equity funds as they mature.

These biotechs then tend to launch in the US because they have to deal with only one regulator and can enter a market of 300 million people and command a higher price, which is why Europe faces a problem commercialising its science. Europe therefore risks losing appeal both as a launch market and as a destination for future pharmaceutical investment, despite the sector's substantial economic contribution.

Europe’s scientists are top-notch

Number of citations in top pharma journals as a percentage of ‘leader’



Source: ING estimates based on Coface and NIH

The European Commission has correctly identified many of these challenges through initiatives such as the Pharmaceutical Package and the Biotech Act. However, progress at the national level remains lacklustre. As a result, increasing drug prices alone would do little to reverse Europe’s declining attractiveness unless accompanied by broader reforms that improve market access, funding, regulatory alignment and the ability to commercialise innovation at scale.

MFN boosts US investment, hurts Europe and offers little relief to drug prices

While the White House presents the latest agreements as a major win for patients and public budgets, the impact on drug spending may be more limited than the headlines imply. MFN savings are likely to be concentrated in specific medicines rather than translating into a broad reduction in pharmaceutical expenditure.

The more significant consequence will be for investment flows: the policy strengthens incentives to locate production and investment in the United States.

As Europe still needs to formulate a coherent response, the region risks becoming a less attractive launch market for innovative medicines and could gradually lose out on future pharmaceutical investment, clinical development activity and manufacturing capacity.

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Article | 4 September 2026

CZECH REPUBLIC HUNGARY

CEE & CCA week ahead: Central bank decisions and inflation data in focus

Poland and Turkey will announce monetary policy decisions next week, while Hungary and the Czech Republic will release key inflation and activity data

We expect the National Bank of Poland to keep rates on hold next week despite recent dovish comments from Governor Adam Glapiński

Poland: NBP set to stay on hold despite governor's dovish tone

While National Bank of Poland Governor Adam Glapiński was surprisingly dovish at the July press conference – even raising the suggestion of a rate cut after the summer holiday – the rest of the Monetary Policy Council was more cautious about the room for monetary easing. Given uncertainties regarding the inflation outlook and the fact that, according to the August flash estimate, it rose towards the upper bound of acceptable deviations from the central bank target, we expect the main policy rate to remain unchanged at 3.75% not only this Wednesday but also for the rest of the year.

Hungary: Inflation set to pick up after months of disinflation

Following a disappointing performance in June, we expect a rebound in industrial production in Monday's release, which is in line with the jigsaw pattern of monthly performance that has recently emerged. A good start to the third quarter will be crucial for avoiding a quarterly drop in GDP, as the heatwave and the related energy crisis will definitely bring a significant decrease in industrial production volumes in August due to voluntary production reduction.

Tuesday brings the release of August inflation. The latest increase in fuel prices will not go unnoticed this time, as the government phased out price caps in late June and the timing of data collection was favourable in July. We estimate that fuel prices will add roughly 0.10-0.15ppt to the monthly inflation rate in August. Additionally, the weakening of the forint since mid-June may also have an impact, primarily on processed food and durables. However, some seasonal factors will counterbalance this, with an expected 0.2% monthly inflation reading pushing up the headline figure after months of disinflation. In our view, the 1.4% figure itself won't make the Monetary Council stop cutting interest rates. Still, rising yields, higher energy prices and a weaker HUF make the picture more complex.

Czech Republic: Industrial strength and inflation details in focus

Industrial output growth likely remained robust in July, as the Czech industrial base has found solid ground and is propelled by a solid inflow of new orders. The trade balance is set to have flipped into a slight deficit in the same month. The unemployment rate is expected to have remained unchanged in August despite the renewed hiring in manufacturing, as it will take a bit of time before it gains tangible strength. The August headline inflation reading is set to be confirmed in the refined release, while the focus will be on imputed rents and regulated energy prices, which we expect to have firmed up.

Turkey: CBT likely to remain on hold after liquidity move

Towards the end of August, the Central Bank of Turkey took a step to normalise liquidity and started weekly repo auctions. Accordingly, the effective cost of funding and TLREF dropped directly to the level of the policy rate at 37% from 40%. The CBT is likely to remain on hold in the September meeting this Thursday after this liquidity move. We see two 100bp cuts to 35% in the last quarter given the weaker-than-expected 2Q GDP data and further gradual cooling of inflation, though any further escalation in the Gulf conflict would add to upside risks. We see the policy rate at 35% by the end of 2026.

Key events in CEE & CCA next week

Country	Time (BST)	Data/event	ING	
		Monday 7 September		
Poland	1300	Aug FX Reserves (USD bn)	-	295
Czech Rep	0800	Jul Industrial Output (YoY%, WDSA)	4.3	4.4
	0800	Jul Trade Balance (CZK bn)	-1.8	15.5
Hungary	0730	Jul Industrial Output Prelim (YoY%)	5.0	10.1
		Tuesday 8 September		
Czech Rep	0900	Aug Unemployment Rate	5.0	5.0
Hungary	0730	Aug Core CPI (YoY%)	1.9	1.9
	0730	Aug CPI (MoM%/YoY%)	0.2/1.4	-0.1/1.2
		Wednesday 9 September		
Poland	1400	Rate Decision	3.75	3.75
Ukraine	1200	Aug CPI (MoM%/YoY%)	-/-	0.3/7.7
		Thursday 10 September		
Turkey	0800	Jul Industrial Production (MoM%/YoY%)	-/-	0.1/-1.4
	1200	Rate Decision	37	37
	1200	Sep Overnight Lending Rate	40	40
	1200	Sep Overnight Borrowing Rate	35.5	35.5
	1230	Sep FX Reserves (USD bn)	76.6	74.2
Czech Rep	0800	Aug CPI (MoM%/YoY%)	0.3/1.9	0.6/1.7
Serbia	1100	Rate Decision	5.75	5.75
		Friday 11 September		
Russia	1130	Rate Decision	14.00	14.00
	1400	Jul Trade Balance (USD bn)	-	12.5
	1700	Aug CPI (MoM%/YoY%)	-0.1/6.3	0.5/6.0
Turkey	0800	Jul Current Account Balance (USD bn)	0.4	-4.2
	0800	Jul Retail Sales (MoM%/YoY%)	-/-	0.7/11.8
Romania	0700	Aug CPI (MoM%/YoY%)	0.1/6.6	0.6/8.2
Serbia	1100	Aug CPI (MoM%/YoY%)	0.4/2.2	-0.2/1.9

Source: Refinitiv, ING

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Article | 4 September 2026 FX

FX Daily: 50/50 Fed call keeps risk assets in demand

Some surprisingly dovish remarks from the Fed s Christopher Waller yesterday sent US yields and the dollar lower, while at the same time sending equities higher. Neither the prospect of a Fed hike nor the surge in the yen has been enough to dent demand for high-yielding FX. That environment looks unlikely to change today, regardless of the US jobs data

Recent dovish remarks from the Fed's Christopher Waller have weighed on the dollar and helped risk assets

USD: Probably more downside risks to the dollar today

Yesterday's speech from the Federal Reserve's Chris Waller was a little more dovish than most were expecting. Rather than reinforcing Chair Kevin Warsh's hawkish speech from a week ago, Waller's remarks shifted the burden of proof towards the need for a hot August inflation print to justify a rate hike – otherwise he would vote for a hold. Short-dated US yields came off 5bp and USD/JPY fell close to 155. Market pricing for a Fed rate hike in September now stands at exactly a 50% probability. Feeding into the story a little will be today's August non-farm payrolls data. We say 'a little' because the Fed seems to be reasonably comfortable with the labour market right now and is squarely focusing on the price side of its dual mandate.

On payrolls, consensus expects a softish +55k number, with the 'whisper' number lower at +30k. The unemployment rate is expected to remain low at 4.1%, which the Fed sees as close to full employment. True, another negative jobs number today would make the optics of the Fed hiking rates later this month a little harder – but the lasting impact for financial markets should come from inflation rather than labour market data.

High yield and procyclical FX remain in demand for the time being. Given the hot debate over whether the Fed raises rates at all, it looks like investors are concluding that any Fed tightening cycle will be very modest and not enough to derail a relatively benign investment backdrop. That presents a mildly negative backdrop for the dollar in the short term. And barring a very strong NFP number today, which would firm up a September rate hike, we could see the dollar drifting a little lower.

99.15/20 could cap DXY intraday strength, with risk to 98.60 on soft payrolls. On a more multi-day view and given our new house call for a 25bp Fed hike, we tend to see the dollar as relatively stable into year-end now.

Chris Turner

EUR: Unwinding the Warsh sell-off

EUR/USD is drifting higher as markets unwind the moves made on the back of Warsh's speech a week ago. EUR/USD had been trading around 1.1650 before that speech and looks to be grinding back in that direction now. The generally offered dollar environment against EMFX and pro-growth currencies in the G10 space is creating a supportive environment for EUR/USD – even if the Fed story is uncertain. One left-field risk for the euro is the upcoming local elections in Germany. Major success for the AfD in Sunday's Saxony-Anhalt elections may raise more questions over the stability of Friedrich Merz's government.

Elsewhere, EUR/GBP is consolidating after breaking above 0.86 yesterday. No doubt the gilt sell-off, and what it means for strained UK public finances, played a role there. On that subject, the new UK Chancellor, John Healey, is expected to make his first major political speech early next week, which will no doubt emphasise fiscal responsibility. For today, monetary policy is in focus. We receive the latest update on the Bank of England's Decision Maker Panel survey and also have a speech from BoE Governor Andrew Bailey at 10:50am CET. It seems too early to get the all-clear on inflation, meaning that up to 60bp of BoE tightening can sit in UK money markets for a while longer. That probably means EUR/GBP can trade 0.8550-0.8600 before breaking higher to 0.87 in the fourth quarter.

Chris Turner

JPY: May have come far enough for the time being

USD/JPY has had another wild week, but yen gains may have come far enough for the time being. Market pricing of the Bank of Japan policy trajectory now has 45bp of hikes priced in by year-end and the policy rate priced close to the fabled neutral 2% rate in about a year's time. Sure, if the Bank of Japan were shifting to its most hawkish setting, a little more could be priced. There is very low risk of a 50bp hike this month and back-to-back hikes in October and December taking the policy rate to 2.00% by year-end. But Japanese consumption remains weak, and government influence remains heavy, suggesting 100bp of tightening by year-end looks highly unlikely.

Helping the yen has also been speculation that the $2tr Government Pension Investment Fund (GPIF) could increase its weighting towards domestic Japanese assets. We'll have to see whether any announcements are made – potentially in late October.

But a lot of these positives are now priced into the yen. 155 is a big support in USD/JPY, and we favour some consolidation here rather than an immediate extension to the 150/152 area. Another factor here is that the speculative market is not as short yen as it was in 2024.

Chris Turner

CZK: Dovish data temper hawkish bets

Czech second-quarter wage growth surprised to the downside yesterday, matching our estimate but falling below market and Czech National Bank forecasts. The strong upside surprise in the first quarter was also revised down sharply. Wage growth averaged 6.3% in the first half of the year. The data eased some of the market's aggressive hawkish pricing, but is not a game changer: wage growth remains uncomfortably high for the CNB, while next year's draft budget points to further wage pressures.

Today's August inflation release should show headline CPI rising from 1.7% to 1.9%, in line with the CNB forecast, mainly due to higher fuel prices. The key focus, however, will be core inflation, which we expect to ease from 3.0% to 2.8% and further temper excessive hawkish pricing. We expect no rate change or major surprise at the September meeting. Attention should instead shift to November, when the CNB will publish a new forecast incorporating next year's state budget, including higher public-sector pay and the minimum wage. Our baseline remains no change in rates, but the risk of another rate hike is increasing despite dovish data this week. Following yesterday's relief on wages, we now see EUR/CZK as fairly valued and are moderating our bullish bias on the koruna.

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Article | 4 September 2026

ASIA WEEK AHEAD CHINA INDIA

Asia week ahead: Key data on China, Taiwan, India, Japan, Korea

Markets will focus on trade and inflation data from China and Taiwan, India s CPI, Japan s GDP and PPI, and South Korea's revised GDP

Asia Research highlights of the week

China's PMIs remained in contractionary territory in August

China's recovery stalls as K-shaped divergence widens

Asia: AI-led growth drives the region's outperformance

China: Strong trade growth and higher inflation

China releases trade and inflation data. Trade has been very strong year-to-date, and we expect this to continue into August. We're looking for export growth of 24.1% year-on-year and import growth of 32.4%, bringing the August trade surplus to $107.0bn. We're also expecting CPI inflation to rebound moderately in August, rising to 0.9% YoY from 0.5% in July, with fuel prices likely to rebound.

Taiwan: Trade strength, even as inflation moderates

Taiwan releases trade and inflation data. We expect prices to moderate slightly but remain above target at 2.3% YoY. Additional upside surprises could dial up pressure on the central bank to hike later this month. Market participants are split on whether the local elections will prohibit a rate hike. But historical cycles suggest this shouldn't be a major factor. Continued strong export orders suggest solid trade growth continued in August, with exports up 32.7% YoY and imports up 33.5%, for a trade surplus of $21.9bn.

India: Inflation set to rise on food and fuel pressures

We expect CPI inflation to increase to 4.7% YoY. The pickup will be driven by food price pressures from weak monsoons, visible especially in sugar and rice prices, and the spillover of higher fuel prices into core inflation.

Japan: Revised Q2 GDP, current account and PPI

Japan releases revised Q2 GDP and July current account data on Tuesday. Market consensus expects GDP growth to be revised up to 0.4% quarter-on-quarter, equivalent to 1.8% annualised, from the previous 0.3% QoQ and 1.1% annualised, respectively. The market expects Japan's current account to rebound to a surplus of JPY 285bn in July, following a JPY 92.3bn deficit in June. The trade balance is expected to remain in deficit at JPY 268.4bn. Income from Japan's overseas investments should continue to support the overall current account balance.

Japan will release its August PPI on Friday. The market expects it to accelerate to 7.4% YoY, from 7.2% in July. The pickup would suggest that upstream price pressures remain elevated, potentially sustaining the pass-through of higher input costs to consumer prices.

Korea: Revised Q2 GDP to confirm robust growth

South Korea will release its revised Q2 GDP data on Tuesday. Market consensus expects growth to remain unchanged from the preliminary estimate at 0.6% QoQ and 3.7% YoY. This would confirm robust second-quarter growth, supported by continued strength in exports, particularly technology and semiconductor shipments.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	
		Monday 7 September		
New Zealand	1100	Aug Reserve Assets Total (NZD mn)	-	51134
China	1600	Aug FX Reserves (USD tn)	-	3,4
Indonesia	1100	Aug FX Reserves (USD bn)	-	145,3
Singapore	1700	Aug FX Reserves (USD bn)	-	549,3
Thailand	1130	Aug Core CPI (YoY%)	-	1,3
	1130	Aug CPI (YoY%)	-	2
		Tuesday 8 September		
Japan	0730	Jul Labour Cash Earnings (YoY%)	-	3,4
	0750	Q2 GDP Revised (QoQ% ann)	CF: 1.8	1,1
	0750	Q2 GDP Revised (QoQ%)	CF: 0.4	0,3
	0750	Jul Current Account (JPY bn)	CF: 2849	-92.3
	0750	Jul BoP Trade Balance (JPY bn)	CF: -268.4	-135,2
China	0700	Aug Exports (YoY%)	24.1	23,9
	0700	Aug Imports (YoY%)	32.4	27,5
	0700	Aug Trade Balance (USD bn)	107	112,5
Australia	0830	Sep Consumer Confidence	-	88,9
	0930	Sep Business Confidence	-	-6
Taiwan	1600	Aug CPI (MoM%/YoY%)	-/2.3	0.2/2.5
South Korea	0700	Q2 GDP Growth Revised (QoQ%/YoY%)	CF: 0.6/3.7	0.6/3.7
Philippines	0900	Jul Unemployment Rate	-	4,9
		Wednesday 9 September		
China	0930	Aug CPI (MoM%/YoY%)	-/0.9	-0.1/0.5
	0930	Aug PPI (YoY%)	-	3,5
Malaysia	1200	Jul Industrial Output (YoY%)	-	6,5
Taiwan	1600	Aug Imports (YoY%)	33.5	37,4
	1600	Aug Exports (YoY%)	32.7	32,9
	1600	Aug Trade Balance (USD bn)	21.9	17,2
South Korea	0700	Aug Unemployment Rate	-	2,8
		Thursday 10 September		
Philippines	0900	Jun FDI (USD bn)	-	0,2
Indonesia	1100	Jul Retail Sales (YoY%)	-	-3
Thailand	1100	Aug Consumer Confidence	-	51,8
		Friday 11 September		
New Zealand	0630	Aug Manufacturing PMI	-	54,3
Japan	0750	Aug PPI (MoM%/YoY%)	CF: 0/7.4	0.1/7.2
India	1930	FX Reserves (USD bn)	-	729,3
Malaysia	1200	Retail Sales (YoY%)	-	6,6
	1200	Unemployment Rate	-	3
Thailand	1530	FX Reserves (USD bn)	-	275,4
		Saturday 12 September		
China	1600	Aug M2 Money Supply (YoY%)	-	7,7
India	1830	Aug CPI (MoM%/YoY%)	-/4.7	0.9/4.5

Note : CF = market consensus forecast data

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Article | 4 September 2026 COMMODITIES DAILY

The Commodities Feed: Oil maintains gains amid Persian Gulf escalation

Oil prices are still holding most of their recent gains, but those could prove fragile. If Strait of Hormuz flows continue uninterrupted despite the latest escalation, the upward pressure on prices may begin to fade

Energy – Iraq oil exports pick up in August

Oil prices remain elevated, with ICE Brent holding above US$95/bbl amid a pickup in hostilities between the US and Iran this week. This included Iran firing missiles into neighbouring Gulf countries. Escalation is propping up crude, but the rally may lose traction if Hormuz shipments keep moving smoothly. According to reports, Iraq exported the highest amount of oil since the start of the US-Iran war in August -– a total of 2.35m b/d. Of that, around 2.26m b/d was exported from southern routes. This would need to eventually go through the Strait of Hormuz. Furthermore, Saudi Arabia kept its official selling price for its flagship Arab Light unchanged at a $2/bbl discount for October loadings. The expectation had been for an increase, suggesting the market is not as tight as thought.

However, refined product markets remain significantly tight. The latest data from Insights Global shows that refined product inventories in the ARA region fell by 118kt week-on-week to 4.15mt. The decline was led by naphtha, gasoil and jet fuel. With gasoil inventories at 1.61mt, they are now seasonally below 2022 levels. Unless Persian

Gulf and/or Russian diesel flows recover, the market is likely to tighten further as we head towards winter. This tightness in middle distillates is not isolated to Europe. US diesel cracks remain above $100/bbl, while retail diesel prices in the US have hit their highest level since mid-2022.

In Singapore, refined product stocks fell by 140k barrels over the week to 39m barrels. Declines were driven by light and middle distillates, falling 837k barrels and 615k barrels, respectively. Light distillate stocks now stand at 10.7m barrels, down from a peak of 19.5m barrels in February this year, and the lowest level since 2021.

In gas markets, spot Asian LNG traded at its highest levels since 2022. Amid this strength, the JKM-TTF spread widened again, making it less clear whether flexible cargoes should continue to be sent to Europe.

In the US, the natural gas market edged lower yesterday, with front-month Henry Hub futures down 1.45%. This is despite the EIA storage data coming in largely as expected, with a 30bcf increase over the week. The market had been looking for a 31bcf increase. However, storage remains very comfortable, more than 5% above the 5-year average.

Metals - Central bank gold demand remains resilient

Central banks continued to add to gold reserves in July, reporting net purchases of 23 tonnes, according to World Gold Council data. Emerging market central banks remained the main buyers, led by China and Poland. China's central bank extended its buying streak to 21 consecutive months, adding 20 tonnes. Poland bought a further 8 tonnes, taking its year-to-date purchases to 90 tonnes.

Central banks in the Czech Republic, Kazakhstan, Malaysia and Bolivia also increased holdings. Russia was the largest seller, reducing reserves by 6 tonnes. Although central bank buying has slowed compared to a year ago, official sector demand continues to provide support for the gold market. Ongoing reserve diversification efforts among emerging economies should help sustain structural demand, even if purchases moderate from recent highs.

Gold prices rose more than 2% on Thursday following a weaker-than-expected ADP employment report on Wednesday. Comments from US Federal Reserve official Christopher Waller, suggesting he is open to keeping rates on hold at the next FOMC meeting (assuming no surprises on the inflation front), provided an additional boost.

Agriculture – Wheat falls on Russia-Ukraine peace hopes

CBOT wheat came under further pressure yesterday with the December contract settling more than 2.5% lower on the day. The decline comes as Russian President Vladimir Putin signalled potential progress in Russia-Ukraine peace negotiations, easing concerns over grain supplies from the Black Sea. Russia and Ukraine account for more than a quarter of global wheat exports, making developments in the conflict a key driver of market sentiment.

Vietnam's Statistics Office estimates August coffee exports at 132kt -- a sharp jump of 56.3% year-on-year from 84.2kt a year earlier, supported by improving supply. This leaves cumulative coffee exports at 1.33mt over the first eight months of the year, up 13.7% YoY.

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Article | 3 September 2026 RATES SPARK

Rates Spark: A short sigh of relief

Relatively dovish comments from the Fed s Waller pushed back against the bearish trend from the past week. But markets remain sensitive to data and after a strong ISM report, the US payrolls number will be closely watched. A number below 25k together with a benign inflation reading next week could persuade the Fed to stay on hold at the upcoming meeting

Payrolls numbers on Friday and inflation next week could determine whether the Federal Reserve hikes rates or not on 16 September

The US takes global rates on a data rollercoaster

Dovish comments by the Fed's Waller sent rates lower on Thursday. He was more inclined to keep rates on hold, citing some signs of disinflation, but also pointed to the remaining data ahead in the next two weeks with a nod to the CPI release.

A stronger ISM services report then pulled rates higher again, though not all the way back. Higher-than-expected new orders and prices paid, alongside a weaker employment component gel with the anticipated impact of AI.

Rates will likely continue to be jolted around by the data with Friday's jobs data being one of two key releases that will help define the next FOMC decision. After Waller's comments, the market's implied probability for a rate hike at the September meeting only briefly dropped noticeably below the 50% threshold, highlighting that after the Fed Chair's comments at Jackson Hole, the decision is better framed as a hike unless the August jobs and CPI data justify a pause. Our economist suspects that now, it will likely require a jobs figure below 25k, possibly even net job losses, with then a core CPI reading below 0.2% month-on-month, to prevent or delay a hike.

Long-end yields are also following the lead of the short end, but the steepening of the curve is a reminder that there are other narratives at play that will keep long-end yields elevated going forward.

Friday's events and market view

All eyes are on the payrolls' data after recent Fed commentary has raised the stakes for a hike while making it also more dependent on the final jobs and inflation data ahead of the meeting.

In Friday's US jobs report, consensus eyes a 55k increase in non-farm payrolls after the 23k decline in July. The unemployment rate is expected to stay unchanged at 4.1%. Note that Friday is the final day ahead of the Fed's communications blackout ahead of the 16 September FOMC meeting.

ECB Chief Economist Lane will speak on Friday, but is unlikely to touch on policy-relevant issues since the European Central Bank is already in its own black-out period. In terms of other releases, the eurozone will publish retail sales data for July.

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Article | 3 September 2026 COMMODITIES, FOOD & AGRI ENERGY

Energy price forecasts revised higher amid stalemate

We revise our oil and gas forecasts higher with little sign of a breakthrough in the deadlock between the US and Iran. The oil market remains tight, but refined product markets are even tighter, while the European gas market remains vulnerable to spikes higher as we move closer to winter

Our base case is that Brent averages $80/bbl in the fourth quarter of the year

Oil flowing through the Strait of Hormuz despite stalemate

The US-Iran Memorandum of Understanding (MoU) proved short-lived, and mediation efforts have yet to restart negotiations. Oil prices have consequently risen from late-June and early-July levels, with ICE Brent trading back around the $90/bbl level. Meanwhile, the brief flurry of Strait of Hormuz flows during the MoU period has eased.

Nevertheless, Persian Gulf producers appear increasingly willing to move oil through the Strait and offer more barrels outside it. Tracking remains difficult because vessels often switch off transponders during transit. US officials estimate flows near 10m b/d, while shipping trackers put them at 4-8m b/d, with estimates recently edging higher. Because a very large crude carrier can hold about 2m barrels, missing one or two vessels can materially distort daily estimates.

We assume Hormuz flows of around 5m b/d. Including pipeline bypass volumes, total Persian Gulf oil exports are roughly 50% of pre-war levels.

China continues to provide relief to the oil market in the form of weaker imports. While imports appear to have bottomed in June, they remain well below year-ago levels. Crude oil imports in July averaged 8.45m b/d, up 1.3m b/d MoM, but down 2.7m b/d year-on-year. Given strategic reserves in excess of 1.2bn barrels, China should be able to sustain these lower imports for the remainder of the year.

Updated oil price scenarios

Base case: Stalemate persists until shortly before the November US mid-term elections, followed by a limited stabilisation agreement covering Hormuz, military de-escalation and possible sanctions relief. Persian Gulf oil flows remain near 50% of pre-war levels in October, then recover to about 90% by December, including bypass volumes. Brent averages $80/bbl in the fourth quarter, up from our previous forecast of $74/bbl.

Optimistic case: A September agreement restores flows to pre-war levels by year-end, with Brent averaging $75/bbl in the fourth quarter.

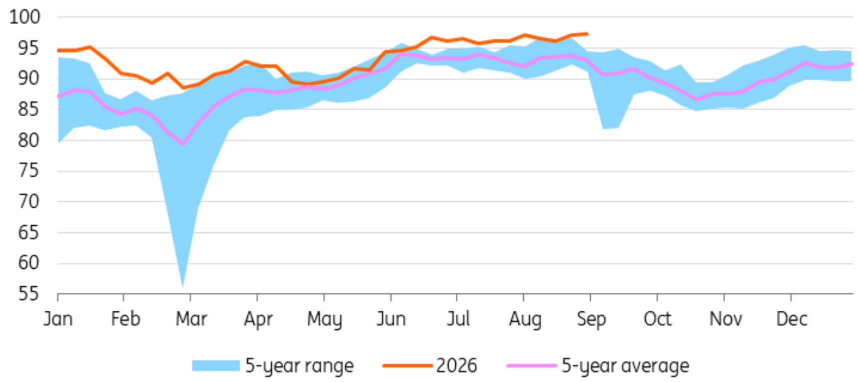
Pessimistic case: Escalation increasingly disrupts Hormuz and bypass routes, leaving year-end flows near 50% of pre-war levels and lifting fourth-quarter Brent to an average of $104/bbl.

Diesel tightness is more acute

Diesel and gasoil cracks have reached record highs as Persian Gulf disruptions coincide with reduced Russian supply. Following Ukrainian drone attacks on refineries, Russia has banned diesel exports until the end of September amid domestic supply concerns. This matters because Russia is the world’s second-largest diesel exporter. Combined disruptions are equivalent to around 20% of global seaborne diesel trade. With little spare refining capacity, meaningful relief requires a recovery in Persian Gulf and/or Russian flows.

US refiners have been operating at near capacity this summer amid tightness in global diesel markets

US refinery utilisation rate (%)



Source: EIA, ING Research

European gas market increasingly vulnerable

European gas prices have recently exceeded EUR70/MWh, their highest since March. Lower Persian Gulf LNG supply has tightened the global market, while strong Asian spot buying pushed EU LNG imports down about 16% year-on-year between April and July. We believe imports should stabilise and recover on a month-on-month basis because freight economics now favour sending spot cargoes to Europe.

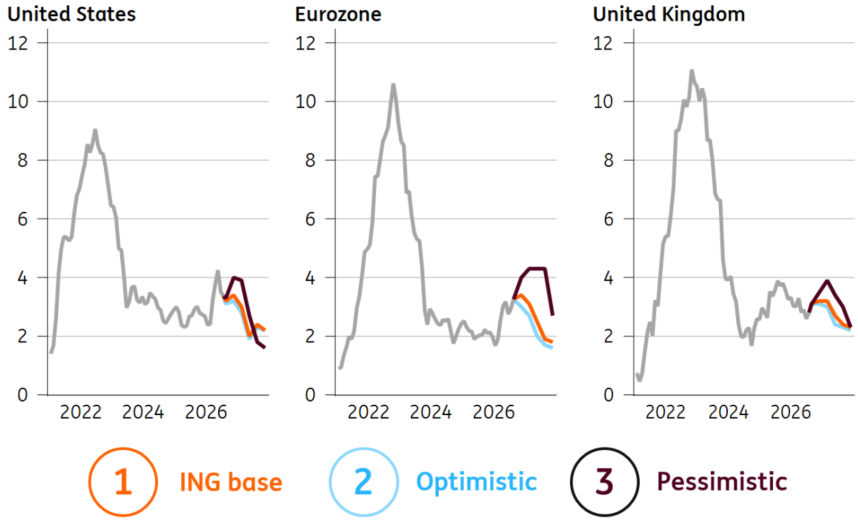
Slower injections left EU storage around 65% full at the end of August, versus a five-year average of 82% and below 2021 levels. Our balance points to inventories of 72-73% at the start of the heating season, well below the headline 90% target and potentially below the flexible 75% threshold. Some member states may therefore need to accelerate purchases, supporting prices as winter approaches. Low storage limits the downside for European gas prices under any of our Persian Gulf scenarios.

Three scenarios for energy markets

	Disruption rate (%) Jul	Aug	Sep	Oct	Nov	Dec	Brent forecast (USD/bbl) 3Q26	4Q26	1Q27	2Q27	TTF forecast (EUR/MWh) 3Q26	4Q26	1Q27	2Q27
ING base 1	51	51	51	51	26	11	90	80	75	68	60	65	65	32
Optimistic 2	51	51	26	16	6	0	85	75	70	65	55	55	50	30
Pessimistic 3	51	51	72	72	72	51	93	104	96	81	65	75	70	45

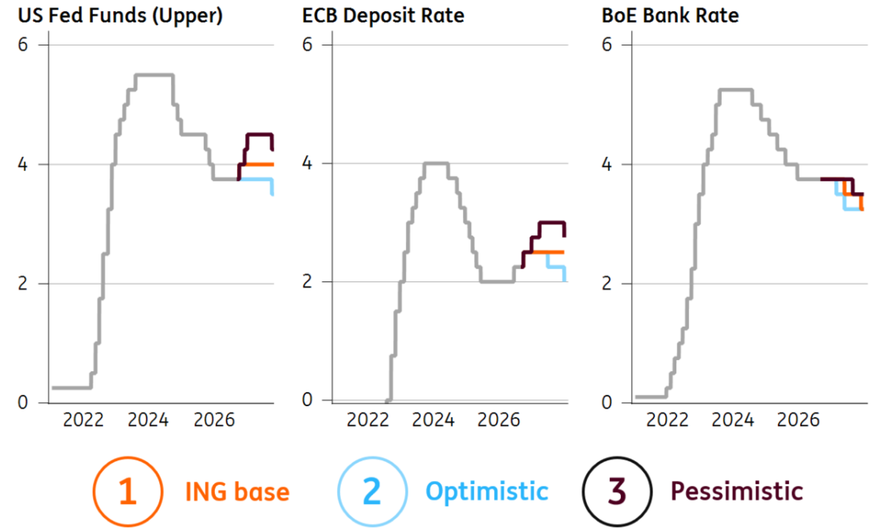
Source: ING

Three scenarios for inflation



Source: ING

Three scenarios for central banks



Source: ING

Three scenarios for markets

		1 ING Base						2 Optimistic						3 Pessimistic					
		2026		2027				2026		2027				2026		2027			
	2 Sep	Q3	Q4	Q1	Q2	Q3	Q4	Q3	Q4	Q1	Q2	Q3	Q4	Q3	Q4	Q1	Q2	Q3	Q4
Brent Crude (USD/bbl)	94	90	80	75	68	70	69	85	75	70	65	68	67	93	104	96	81	75	72
Dutch TTF gas (EUR/MWh)	73	60	65	65	32	31	32	55	55	50	30	28	32	65	75	70	45	35	33
US Inflation (YoY%)	3.4%	3.2	3.4	3.0	2.0	2.4	2.2	3.1	3.2	2.8	1.9	2.3	2.2	3.3	4.0	3.9	2.7	1.8	1.6
Eurozone Inflation (YoY%)	3.3%	3.3	3.4	3.1	2.5	1.9	1.8	3.2	3.0	2.7	2.0	1.7	1.6	3.8	4.0	4.3	4.3	4.3	2.7
ECB Deposit Rate (%)	2.25	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.50	2.25	2.25	2.00	2.50	2.75	3.00	3.00	3.00	2.75
Fed Funds Rate (%)	3.75	4.00	4.00	4.00	4.00	4.00	3.75	3.75	3.75	3.75	3.75	3.50	3.25	4.00	4.50	4.50	4.50	4.25	3.75
2Y EUR swap rate (%)	3.20	3.20	3.05	2.95	2.85	2.85	2.85	3.10	2.80	2.70	2.50	2.30	2.20	3.30	3.40	3.50	3.40	3.00	2.95
10Y EUR swap rate (%)	3.40	3.35	3.40	3.20	3.05	3.05	3.05	3.30	3.20	3.10	2.90	2.80	2.75	3.40	3.50	3.50	3.35	2.90	2.80
2Y USD swap rate (%)	4.25	4.20	4.10	4.00	3.75	3.65	3.35	4.10	3.90	3.80	3.50	3.25	3.25	4.25	4.50	4.40	4.20	3.50	3.10
10Y USD swap rate (%)	4.40	4.35	4.50	4.35	4.10	4.05	4.05	4.30	4.40	4.25	4.00	3.95	3.95	4.40	4.60	4.50	4.30	3.80	3.50
EUR/USD	1.16	1.15	1.16	1.16	1.18	1.19	1.20	1.17	1.18	1.18	1.20	1.21	1.22	1.13	1.14	1.14	1.16	1.18	1.20

Source: ING

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